

Introduction to Business

Global Environment

Module Learning Outcomes

Describe the characteristics, opportunities, and challenges of the global business environment

- 3.1: Explain why nations and U.S. firms engage in global business
- 3.2: Describe how nations measure global trade
- 3.3: Evaluate common strategies used to reach global markets
- 3.4: Identify and describe forces that affect global trade
- 3.5: Describe global trade agreements and economic organizations that regulate and promote global trade
- 3.6: Describe ethical challenges that businesses face in a global environment

Globalization

Learning Outcomes: Globalization

3.1: Explain why nations and U.S. firms engage in global business

- 3.1.1: Explain the concepts of globalization and its impact on global business
- 3.1.2: Differentiate between comparative and absolute advantage
- 3.1.3: Explain the roles of absolute and comparative advantage in global business

Globalization and Business

- **International business** refers to commerce in which goods, services, or resources cross the borders of two or more nations.

- **Globalization** is broader than international business. Globalization describes a shift toward an integrated world economy in which culture, ideas, and beliefs are exchanged in addition to goods, services, and resources.

Impact of Globalization: McDonald's

Companies like McDonald's that decide to take advantage of global opportunities must consider the challenges of:

- Global Economic Environment
- Global Legal Environment
- Global Competitive Environment
- Global Technological Environment
- Global Social Environment



Global Economic Environment

McDonald's is a corporation based in the United States, where all business transactions are conducted using the U.S. dollar, but there are 164 official national currencies in the world, each with a different value and purchasing power.



Class Discussion: McDonald's Global Legal Environment

In Greece, there is a $650 fine for eating ice cream at certain historic, artistic, and culturally important sites.

Should McDonald's sell ice cream near these sites?



Global Competitive Environment

How does McDonald's recapture the number-one position it lost to Subway in 2010? The company may need to make substantial changes to its operations, menu offerings, and/or marketing tactics. This is a steep, uphill climb in the United States alone, but consider trying to accomplish it in 118 different countries in 188 different markets—where you are competing not only with other global U.S. fast-food companies like Subway and KFC but with local ones, like "McKebab," as well!



The Global Technological Environment

As global businesses respond to demands created *by* technology, they must also leverage technology to move products, people, and supplies around the globe in a cost-effective and efficient manner.

Consider the company's presence in China, where there are nearly 1.3 billion mobile users, and say hello to "McDonald's Next," a "modern and progressive" version of the restaurant that first opened in Hong Kong in 2017, featuring mobile-phone-charging platforms, free Wi-Fi, and self-ordering kiosks.



The Global Social Environment

McDonald's has had to adapt in countless ways to meet the demands of its customers around the world. While it prides itself on offering a consistent, internationally recognizable menu, the company has also had to cater to local dining preferences and customs.

In 1996, McDonald's entered India for the first time, where it offered a Big Mac made with lamb called the Maharaja Mac, and later they introduced the Veg and Chicken Maharaja Mac.



Absolute and Comparative Advantage

Absolute Advantage

- When an entity (country, region, company, or individual)
  - is the *only* source of a particular product, good, or service (very rare) **or**
  - is able to produce *more* of something than another entity while using the same amount of resources.
- Example: Edible red bird's nests only found in the caves of Thailand

Comparative Advantage

- When an entity can produce a particular good or service at a lower relative *opportunity cost* compared to another entity.
- Example: Ecuador's production of bananas





Global Markets and Business Opportunity

Benefits nations and firms realize by entering foreign markets:

- **Access to factors of production**: Access to global markets enables countries to acquire natural resources, capital, human capital and entrepreneurship when they are nonexistent, scarce, or too expensive in their home country.
- **Innovation and ideas**: Many companies discover unmet needs or unique products and services in the global market. These discoveries can help expand existing product lines or introduce new products.
- **Risk reduction**: If a country or company trades or does business with *multiple* foreign partners, they are less dependent on the success of any single partnership.

Practice Question 1

As an evolution of international trade, globalization involves:

A. a shift towards a more integrated world economy

B. trade across two or more countries

C. trade in services as well as goods

D. a standardization of culture and beliefs



Practice Question 2

Comparative and absolute advantage are competitive advantage concepts that determine production and trading decisions. Absolute advantage is based on _____; comparative advantage is based on _____.

A. resource abundance; technical expertise

B. resource exclusivity or factor productivity; relative opportunity cost

C. natural resources; management expertise

D. military power; political power



Practice Question 3

When countries engage in trade, they specialize in the production of goods in which they have a _____ advantage. Goods and services are produced where the opportunity cost is _____.

A. competitive; highest

B. competitive; lowest

C. absolute; highest

D. comparative; highest



Measuring Global Trade

Learning Outcomes: Measuring Global Trade

3.2: Describe how nations measure global trade

- 3.2.1: Differentiate between balance of trade and balance of payments
- 3.2.2: Differentiate between trade deficits and trade surpluses
- 3.2.3: Explain how countertrade contributes to the measure of global trade

Balance of Trade

The **balance of trade** is the difference between the value of a country's imports and its exports.

value of exports – value of imports = balance of trade



Trade Surplus and Deficit

- A **trade deficit** occurs when a nation imports more than it exports.
- A **trade surplus** occurs when a nation exports more than it imports.
- Because the balance of trade is calculated using ALL imports and exports, it's possible to run a surplus with some nations and a deficit with others.



Balance of Payments

Balance of Payments is the difference between the total flow of money coming into a country and the total flow of money going out of a country during a period of time.

total money coming into a country (inflow) – total money going out of a country (outflow) = balance of payments

Includes all external transactions

Examples:

- payments, exports and imports
- services
- foreign investments
- loans and foreign aid
- financial capital
- financial transfers

Countertrade

Countertrade is a system of exchange in which goods and services are used as payment rather than money.

Countertrade is common:

- among countries that lack sufficient hard currency (cash)
- where other types of market trade are impossible
- in developing countries, whose currency may be weak or devalued relative to another country's currency



Common Types of Countertrade

- **Barter**: exchange of goods or services directly for other goods or services without the use of money as means of purchase or payment.
- **Switch trading:** one company sells to another its obligation to make a purchase in a given country.
- **Counterpurchase:** Sale of goods and services to one company in another country by a company that promises to make a future purchase of a specific product from the same company in that country.
- **Buyback:** A firm builds a plant in a country, or supplies technology, equipment, training, or other services to the country, and agrees to take a certain percentage of the plant's output as partial payment for the contract.
- **Offset:** Agreement that a company will offset a hard-currency purchase of an unspecified product from that nation in the future.

Global Business Strategies

Learning Outcomes: Global Business Strategies

3.3: Evaluate common strategies used to reach global markets

- 3.3.1: Explain how firms use importing and exporting to reach global markets
- 3.3.2: Explain how firms use licensing and franchising to reach global markets
- 3.3.3: Explain how firms used foreign direct investments (FDI) to reach global markets
- 3.3.4: Explain how firms use joint ventures and foreign strategic alliances to reach global markets

Imports and Exports

Exporting: Taking goods that were produced within a company's home country and shipping them to another country. The party sending the good is called an *exporter*.

Importing: A good is brought into a jurisdiction, especially across a national border, from an external source. The party bringing in the good is called an *importer*.

Imports and Exports: Advantages and Disadvantages

Advantages

- Exporting doesn't require a company to manufacture its products in the target country
- Exporting is the quickest and least expensive means to enter the global market

Disadvantages

- Exporting goods can mean losing control of products once they are exported, which can lead to products being misrepresented, copied by other manufacturers, or sold on the black market
- Unable to gain insight into or experience with local consumer preferences and demand related to exported goods
- Exporting may incur taxes, regulations, and/or restrictions

Outsourcing and Offshoring

Outsourcing *contracts out* a business process to another party and may include either or both foreign and domestic contracting.

Offshoring is the *relocation* of a business process from one country to another.

Both outsourcing and offshoring are strategies companies use to lower their costs.



Outsourcing and Offshoring: Advantages and Disadvantages

Advantages

- The destination country gains jobs
- The origin country gets cheaper goods and services
- Some say that the low skilled jobs in origin country will be replaced with better jobs

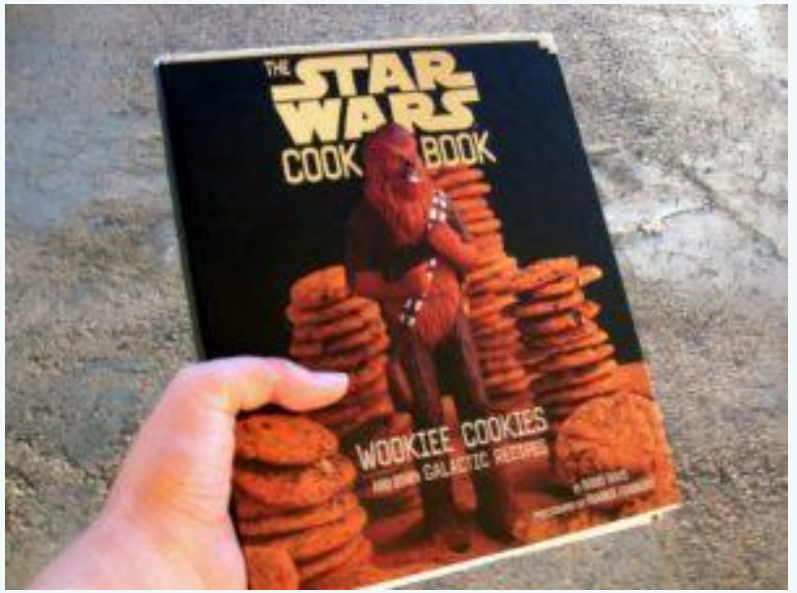
Disadvantages

- Lack of control over product quality, working conditions, and labor relations
- Some argue that jobs that are shipped overseas are not replaced by better, higher-paying ones

Licensing

In a **licensing agreement** the licensor agrees to let someone else (the licensee) *use* the property of the licensor in exchange for a fee.

License agreements usually cover property that is intangible, such as trademarks, images, patents, or production techniques.



Franchising

In a **franchising agreement**, a party (franchisee) acquires access to the knowledge, processes, and trademarks of a business (the franchisor) in order to sell a product or service under the business's (franchise's) name.

In exchange for the franchise, the franchisee usually pays the franchisor both initial and annual fees.

Example: Baskin Robbins



Licensing and Franchising: Advantages and Disadvantages

Advantages

- Allows companies to have a global presence without heavy investments
- Immediate competitive advantages for licensee/franchisee
- Quickly begin efficient and profitable operations
- Inexpensive access to a new market

Disadvantages

- Least profitable way for a company to enter a market
- Loss of control – tough to maintain brand
- Majority of the revenue remains in the destination country with the licensee/franchise

Foreign Direct Investment

Foreign direct investment (FDI) is an investment in the form of controlling ownership in a business enterprise in one country by an entity based in another country.

- Most intensive approach to reach a global market

FDI can take one of two forms:

1. **Greenfield ventures**
   - The company enters a foreign market and establishes a new subsidiary as a set-up business, e.g. BMW manufacturing plant in South Carolina
2. **Mergers/acquisitions**
   - Represents the vast majority of FDI; e.g. Anheuser-Busch owned by Belgian-Brazilian conglomerate InBev

Foreign Direct Investment: Advantages and Disadvantages

Advantages

- A merger or acquisition involves the purchase of assets such as property, plants, and equipment that are already producing a product with a known revenue stream.
- Key to a successful merger or acquisition is paying the right price for the company

Disadvantages

- Big investment and time commitment
- Red tape
- Greenfield ventures take time
- Companies can overpay in mergers

Joint Ventures

A **joint venture** establishes a new business that is owned by two or more otherwise independent businesses.

The most common joint ventures involve two companies that are equal partners in the new firm, investing money and resources while sharing control of the newly formed firm.

Often, the foreign partner provides expertise on the new market, business connections and networks, and access to other in-country aspects of business such as real estate and regulatory compliance.

Strategic Alliance

A **strategic alliance** is formed between two or more corporations, each based in their home country, for a specified period of time.

Unlike a joint venture, a new company is not formed.

Generally, strategic alliances are pursued when businesses find that they have gained all they can from exporting and want to expand into a new geographic market or a related business.

Joint Ventures and Strategic Alliances: Advantages and Disadvantages

Advantages

- Knowledge and experience of the market offered by the local partner
- Reduces each company's exposure to losses

Disadvantages

- Conflicts over control if the partner firms do not agree on business decisions.
- Risk that the partner firm will take technology or innovation and use it to become a competitor

Practice Question 4

There are a number of strategies a business can use to gain access to foreign markets. Exporting is considered to be _____ means of entering a new market.

A. the best long-term

B. a risk-free

C. the fastest and least expensive

D. a capital-intensive



Practice Question 5

Licensing and franchising are two options for gaining access to global markets. Licensing is generally used with _____; franchising is generally used to "export" _____.

A. Short-term agreements; over the long-term.

B. Products; services

C. Branded products or services; intangible goods

D. Intangible goods; branded product or service.



Practice Question 6

Foreign direct investments (FDI) can take one of two forms: a "greenfield" (new) venture or a merger with or acquisition of an existing foreign business. Relative to other strategies for entering a foreign market, using foreign direct investments is considered a _____ option.

A. fast and inexpensive

B. lower risk

C. less capital-intensive

D. strategic choice in the sense of control and long-term potential



Practice Question 7

Joint ventures and foreign strategic alliances are approaches used with large-scale, capital intensive projects in global markets. Which of the following situations best reflects a joint venture?

A. A new business is established with equal ownership where one part has in-country expertise

B. A large-scale project that does not create a new entity

C. A project in which a local government provides in-country expertise

D. A project involving two or more independent businesses entering a new market or related business

Global Trade Forces

Learning Outcomes: Global Trade Forces

3.4: Identify and describe forces that affect global trade

- 3.4.1: Describe the impact of sociocultural forces on global trade
- 3.4.2: Describe the impact of political and economic forces on global trade
- 3.4.3: Describe the impact of legal differences on global trade
- 3.4.4: Describe the impact of physical and environmental forces on global trade
- 3.4.5: Describe the impact of tariff and non-tariff restrictions on global trade

Understanding Global Trade Forces

A range of forces that affect global trade including:

- Sociocultural differences
- Political economy
- Legal differences
- Physical and environmental forces
- Tariff and non-tariff restrictions



Sociocultural Differences

Business always exists in an environment shaped by culture.

Organizations that intend to sell products and services in different countries must be sensitive to the cultural factors at work in their target markets such as:

- Language
- Customs and taboos
- Values
- Time and punctuality
- Business norms
- Religious beliefs and celebrations



Sociocultural Differences: Examples

- In the U.S. we purchase “cans” of various grocery products, but the British purchase “tins”
- In Japan, the number four is considered unlucky, and product packages containing four items are avoided by many consumers
- In Eastern Europe, the long history of Soviet occupation during the Cold War has left many inhabitants with a negative perception of the Russian language and products carrying Russian language labeling may suffer accordingly

Political Economy

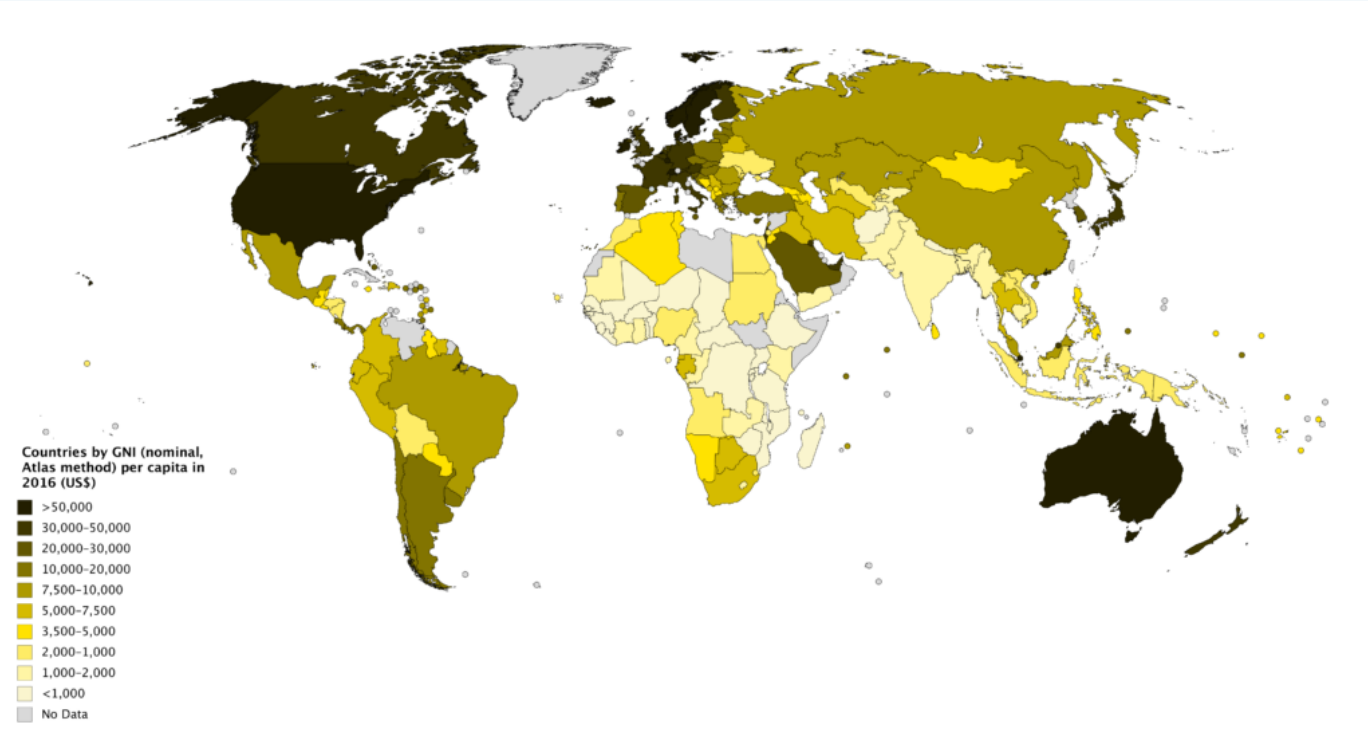
The political economy of a country refers to its political and economic systems together:

- The nature of a country's political economy plays a big role in whether it is attractive to foreign business and entrepreneurship.
- Historically, there has been a direct relationship between the degree of economic freedom in a country and its economic growth—the more freedom, the more growth, and vice versa.
- Businesses prefer to invest in countries with stable governments.

Gross National Income Per Capita

Businesses target the markets and countries where people have the highest incomes and the most disposable income.

Notice the variation in the gross national income (GNI) per person among the nations of the world in the map below:



Emerging Markets

- A market where new opportunity exists.
- 4 largest emerging and developing economies are the BRIC countries (Brazil, Russia, India, and China).
- Purchasing Power Parity (PPP) = way to measure a country's level of economic development.







Legal Differences

Businesses must understand and conform to the legal and regulatory environments of the countries and regions in which they operate, including following various types of laws:

- Contract
- Trademark
- Labeling
- Patents
- Decency, censorship, and freedom-of-expression



Additional Legal Considerations

- Price floors, ceilings, and other regulations
- Product safety, testing, and quality-control
- Environmental protection and conservation regulations
- Privacy laws
- Financial reporting



Physical and Environmental Differences

Infrastructure challenges in some countries:

- Lack of roads, railways, and port systems needed to transport goods
- Inadequate storage facilities
- Limited access to electricity, clean water, and sanitation



A country's natural environment and the surrounding regulations aimed at protecting it may pose additional challenges.

Trade Restrictions

Not every nation welcomes the expansion of businesses into their country and may restrict flow of foreign goods and services through:

- **Import tariffs**: a type of tax that is levied on goods and services coming into a country
- **Import quotas**: a limit on the amount of quantity of a good or service that can be imported into a country
- **Local content requirements**: set by the government and require foreign businesses to use a certain quantity of local labor, resources, and/or suppliers in their operations
- **Embargos**: and official ban on trade or other commercial activity with a particular country

Class Discussion: Tariffs

Tariffs have been a part of U.S. history since the inception of the United States of America. In 2018-2019, a torrent of tariffs were put in place by Executive Order.

- In 2018 steep tariffs of up to 25% were placed on imported steel and aluminum to make domestic steel and aluminum more competitive.
- Tariffs were imposed on 800 types of goods from China in 2019 valued at $50 billion in order to reduce restrictions from China on U.S. goods.
- A 5% "across-the-board" tariff on goods from Mexico was proposed in order to gain concessions from that country on immigration policies.

Considering what we have learned in this module about Global business, do the benefits gained from tariffs outweigh the negative consequences?

Global Trade Agreements and Organizations

Learning Outcomes: Global Trade Agreements and Organizations

3.5: Describe global trade agreements and economic organizations that regulate and promote global trade

- 3.5.1: Describe the role of the WTO in promoting global trade
- 3.5.2: Describe the role of the World Bank in promoting global economic development
- 3.5.3: Describe the role of the IMF in promoting global trade
- 3.5.4: Describe the role of trade agreements in global business

The World Trade Organization (WTO)

- Developed from the General Agreement on Tariffs and Trade (GATT).
- Monitors the trade liberalization agreements reached by GATT.
- Oversees implementation and administration of the agreements between member nations.
- Provides a forum for negotiations and settling disputes among nations.
- Most-favored-nation status (MFN) requires that a country must apply the same terms and conditions of trade with any and all other WTO members.
- Transparency: WTO members are required to publish their trade regulations. When a WTO nation changes its trade policies, that change must be reported to the WTO.

The World Bank

- Promotes economic and social progress in developing countries
- Provides low-interest loans and grants for capital programs to developing countries

The World Bank has set two goals to achieve by 2030:

- End extreme poverty by decreasing percentage of U.S. population that lives on less than $1.90 (USD) per day to no more than 3 percent
- Promote shared prosperity by fostering income growth of the bottom 40 percent in every country



World Bank Group President Jim Yong Kim visits an integrated child development services and skills center in Delhi, India

International Monetary Fund (IMF)

- Comprised of 189 countries
- Fosters global growth and economic stability by providing policy, advice, and financing to its members
- Works with developing nations to reduce poverty and achieve macroeconomic stability
- IMF member countries contribute to a fund that they can borrow from if they are experiencing balance-of-payment problems



Trade Agreements in Global Business

Trade agreements vary in the amount of free trade they allow among members and with nonmembers; each has a unique level of economic integration

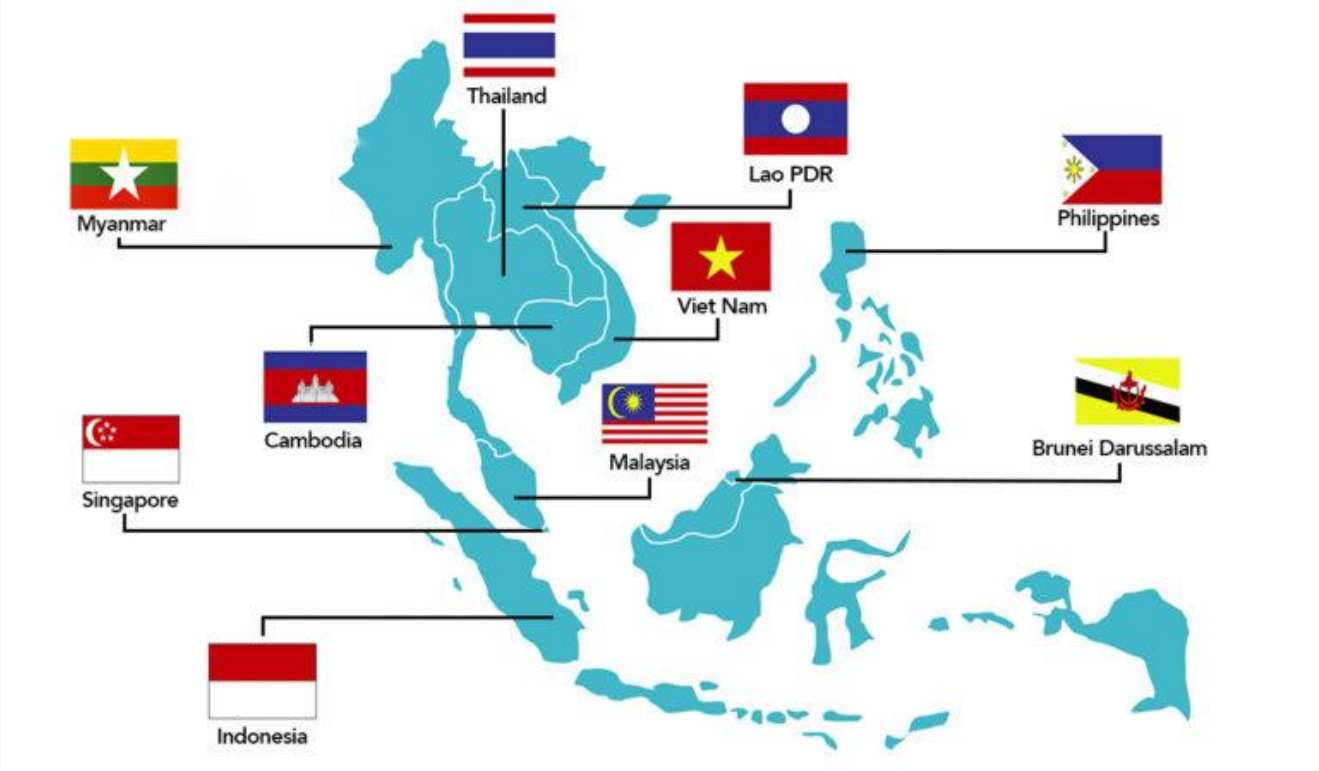
- **Regional trade agreements**
- **Customs unions**
- **Common markets**
- **Economic union**

Regional Trade Agreements

Regional trade agreements are reciprocal trade agreements between two or more nations.

Almost all countries are members of RTAs. Countries "huddle together", forming an international community that facilitates the movement of goods and services between them

Examples: United States- Mexico-Canada Agreement (USMCA) and Association of Southeast Asian Nations(ASEAN)



Customs Unions and Common Markets

Custom Unions

- Arrangements among countries whereby the parties agree to allow free trade on products *within* the customs union, and a *common external tariff* (CET) on imports from the rest of the world.
- The CET distinguishes the Customs Union from a Regional Trade Agreement
- While trade is unrestricted, it does not allow free flow of capital and labor among member countries

Common Markets

- Similar to customs unions but also allows free movement of resources (e.g., labor) among member countries.

Economic Unions

- Eliminate internal barriers
- Adopt common external barriers
- Permit free movement of resources such as labor
- Adopt a common set of economic policies
- Example: the European Union (EU)



Ethical Challenges in the Global Environment

Learning Outcomes: Ethical Challenges in the Global Environment

3.6: Describe ethical challenges that businesses face in a global environment

- 3.6.1: Explain why forms of corruption such as bribery are so widespread and difficult to regulate
- 3.6.2: Summarize the key parts of the Foreign Corrupt Practices Act
- 3.6.3: Define sweatshop and explain how it relates to global business

Corruption

When a large corporation decides to enter a foreign market, it must secure a number of licenses, permits, registrations, or other government approvals. Since the power to authorize the foreign corporation's activities is vested in the hands of local politicians and officials, and since corporations have access to large financial resources, some corporate executives resort to financial incentives to influence foreign officials.

While financial incentives like promises to invest in local infrastructure may be legitimate, any form of direct payment to a foreign official intended to influence that official's public decision crosses the line into *bribery*.

Bribery is an example of an unethical and illegal business behavior.

Examples of Bribery

- **Walmart in Mexico**: In 2005 internal and external investigations revealed a widespread use of bribes, alleged to total more than $24 million. The bribes were paid to facilitate the construction of Walmart stores throughout Mexico, a huge market for Walmart stores; 1 in every 5 Walmart stores is located in Mexico.
- **Glaxosmithkline in China**: In 2013, China's Xinhua news agency reported that a police investigation of drug manufacturer Glaxosmithkline (GSK) indicated that the company paid bribes to doctors to prescribe GSK's drugs to patients. Police also alleged that the corporate parent merely went through the motions of an internal audit process, indicating a knowledge and acceptance of the bribery.
- **Alcatel in Costa Rica**: In 2010, mobile-device manufacturer Alcatel agreed to pay Costa Rica $10 million in reparations for social damage caused by Alcatel's payment of $2.5 million in bribes to get a contract to provide mobile phone services in Costa Rica.

Foreign Corrupt Practices Act (FCPA)

The **Foreign Corrupt Practices Act (FCPA)** was the first major international anti corruption law. It was adopted in 1977 and criminalized bribery of foreign public officials by American business enterprises.

The FCPA applies only to bribes paid (or offered) to foreign government officials to obtain or retain business or to develop an unfair competitive advantage.

In 1997, the **Organization for Economic Cooperation and Development (OECD)** established legally binding standards for defining bribery in international business transactions. By 2012, forty-three countries had ratified the agreement and begun its implementation.

Corruption from a Cross-Cultural Perspective

It remains difficult to regulate ethical behavior when social and cultural norms vary significantly from country to country.

Acts that are considered unethical in one country may represent a traditional way of doing business in another.

Example: Corruption from a Cross-Cultural Perspective

Quality and Transparency

The Western purchasing agent is expected to award contracts based on *quality of bids* and *transparently available financial information* about the bidders. An agent who favors personal friends is viewed as corrupt, because cronyism subverts this transparency-based system.

Cronyism

In much of the world, cronyism is a *foundation for trust*. Cronies are expected to follow through on a deal because they do not wish to sacrifice the trusting relationship in an environment where relationships are key to business. In this system, it would be in the company's interest for the purchasing agent to make a deal with cronies, and therefore may not present a conflict of interest.

Sweatshops and Global Business

A sweatshop is a factory that is guilty of labor abuse or violations, such as:

- Unsafe working conditions
- Employment of children
- Mandatory overtime
- Payment of less than the minimum wage
- Abusive discipline
- Sexual harassment
- Violation of labor laws and regulations

The U.S. Government Accounting Office has chosen to define a sweatshop as any manufacturing facility that is guilty of two or more of the above types of labor abuses.

Rana Plaza

On April 24, 2013, at Rana Plaza on the outskirts of Dhaka, Bangladesh, a building containing apparel factories collapsed, trapping and killing more than 1,100 employees.

News reports soon emerged that the factory owners had ignored ominous warning signs, such as visible cracks in the wall, and had illegally added several stories to the top of the building, creating a weight the building could not bear.



Garment factory collapse, Rana Plaza, Bangladesh

What global events lead to the Rana Plaza collapse?

When import tariffs were lowered by GATT and the WTO, many companies saw an opportunity to lower their production costs by moving production overseas.

Throughout the period from 1970 to the present, employment in American apparel factories dropped sharply as companies moved production to countries like Indonesia, Vietnam, China, Mexico, and the Dominican Republic.

The outsourcing movement was accompanied by increasing reports of sweatshop abuses. Throughout the 1990s a number of sweatshop-related abuses came to light in factories used by American brands including Nike.

Nike and other Global Labor Abuses

Nike came under attack as reports emerged from Indonesia and Vietnam of worker abuse. At first, Nike refused to accept responsibility, pointing out that Nike had never manufactured its own footwear and apparel. Nike's contracts with its sourcing factories required the factories to obey labor regulations and, in Nike's view, this meant that any abuses were the factories' responsibility. However, by 1998, the continuing negative publicity obliged Nike to reverse its course by instituting a strict code of conduct for its factories.

The American consumer seemed to have wearied of the sweatshop issue to some extent, and companies like Walmart and Nike, which had often been accused of sweatshop abuses, saw their sales and stock valuations continue to rise.

Then, in 2012 and 2013, a horrific series of accidents reminded the world's consumers that the sweatshop issue was still with us. These events included a 2012 factory fire that killed 270 Pakistani apparel workers, and eventually the Rana Plaza collapse.

Class Discussion: Nationalism vs Globalism

How do you think the rise of nationalist attitudes in the United States and Europe that are skeptical of regional trade agreements and economic unions might impact international trade and globalization?



Quick Review

- Why do nations and U.S. firms engage in global business?
- How do nations measure global trade?
- What are common strategies used to reach global markets?
- What are the forces that affect global trade?
- What are global trade agreements and economic organizations that regulate and promote global trade?
- What ethical challenges do businesses face in a global environment?